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Residential Tenancies Commission
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September 11, 2020

My Place Realty
1274 Archibald Street
Winnipeg MB R2J 0Z3

Via Regular Mail

Dear Sir/Madam:

**Re: Appeal to the Residential Tenancies Commission of the Residential
Tenancies Branch's Order dated January 8, 2020**

Address: 585 Corydon Avenue, Winnipeg MB

Please find enclosed a signed copy of the Orders and Reasons for Decision from the Residential Tenancies Commission dated September 11, 2020, regarding 585 Corydon Avenue, Winnipeg, Manitoba.

Yours truly,

MICHELLE POLLOCK-KOHN

Deputy Chief Commissioner
Residential Tenancies Commission
Encls.

Name of Complex: The Pines

Address of Complex: 585 Corydon Avenue, Winnipeg, MB

Panel: M. Pollock-Kohn, Deputy Chief Commissioner

Landlord: My Place Realty Attendance

Represented by: D. Wilcox, Property Manager By Telephone

Tenant/Appellant: E. Rosner - unit 10 By Telephone

Date of Hearing: August 25, 2020, at 10:00 a.m.

REASONS FOR DECISION

Background:

On July 30, 2019, My Place Realty (the “landlord”), applied to the Residential Tenancies Branch (the “Branch”) under s. 123(2) of *The Residential Tenancies Act* (the “Act”) for a rent increase of 9.5 per cent. The complex consists of 11 rental units. The first proposed rent increase was to take effect on November 1, 2019. The landlord’s financial reporting periods for the comparison of expenses for this application are as follows:

Current Reporting Period:	April 1, 2018, to March 31, 2019
Previous Reporting Period:	April 1, 2017, to March 31, 2018

After considering the information provided by the landlord and its tenants, the Branch approved a maximum rent increase of 3.8 per cent and issued Orders dated January 8, 2020.

On January 24, 2020, the tenant filed a Notice of Appeal of the Branch’s Order at the Residential Tenancies Commission (the “Commission”). The Branch’s Order provided that effective July 1, 2020, the rent for the tenant’s unit can increase as follows:

From:	To a Maximum of:
Basic Rent: \$752.00	Basic Rent: \$781.00
Total Rent: \$752.00	Total Rent: \$781.00

The Appeal Hearing:

At the commencement of the hearing, the Deputy Chief Commissioner introduced the panel, reviewed the parameters of a rent increase appeal and the process of the hearing. The parties were affirmed.

The tenant has resided at the complex for 8 years and is very happy with living there. As a result of the pandemic, he has suffered economic hardship and has not paid the increase as a result of the rent freeze. He does not feel that the rent increase is justified based on the work done and the landlord should not receive more than guideline. There has not been much of an improvement as a result of the incurred capital expenditures. The change in ownership has not led to significant alterations and there have been rent increases above the guideline over the last three years. He cannot access the landlord's financial information for the capital expenditures which puts him in a distinct disadvantage. It cannot be overlooked that this is a game played to receive as much of an increase as possible and the public needs to be protected.

The representative of the landlord, Mr. Wilcox, advised that the landlord's financial documents are open for the tenant to view at the Branch. The total cost of the rent increase is spread out over all the units and the capital expenditures are amortized accordingly. The landlord completed work in the tenant's unit including repairing loose tiles, plank flooring and plumbing repairs. The capital expenditures of approximately \$70,000.00 included asbestos abatement, drywall, masonry, replaced tubs and tiles and some new appliances. The landlord applied for a rent increase of 9.5 per cent but only received 3.8 per cent.

The tenant did not dispute that there was work done in his unit and did not know there was asbestos work done. He confirmed that he did not attend the Commission to view the file. He asked about his lease renewal but Mr. Wilcox advised that lease renewal does not have anything to do with the rent increase hearing.

The Decision:

In order to justify a rent increase above the guideline, a landlord must show that the guideline amount will not cover cost increases, taking into account the economic adjustment factor. Under Part 9 of the *Act* and s. 7(1) of the *Residential Rent Regulation* (the "*Regulation*"), the total rent increase for rental units in a residential complex is determined by adding together the following amounts:

1. The change in the operating expenses;
2. A portion of the capital expenses;
3. The dollar value of any change in services and facilities and other amenities;
4. The greater of:
 - a. The economic adjustment factor multiplied by revenue or
 - b. 1/3 of the amount by which operating expenses and mortgage interest exceed revenue.

With respect to the concerns of the tenant that the capital improvements do not justify the rent increase, the landlord's application for a rent increase is based on the actual expenses incurred by it in the operation of the complex as a whole. The landlord decides what work to do in its complex and provides copies of general ledgers and/or invoices for the reported expenses. The Branch reviews the invoices and ledgers provided by the landlord to ensure the expenses are correct and reasonable and in accordance with the *Act* and the *Regulation*.

A rent increase above guideline is determined by the landlord's expenses relating to the complex. The landlord decides what work to do in its complex and provides copies of general ledgers and/or invoices for the reported expenses. The Branch reviews the invoices and ledgers provided by the landlord to ensure the expenses are correct and reasonable and in accordance with the *Act* and the *Regulation*.

With respect to the tenant's concerns that he was not able to view the landlord's financial information, the Commission noted that the tenant was given an opportunity to view the rent increase file at the Commission but he did not do so.

The tenant did not dispute any of the expenses claimed by the landlord which are the basis of the rent increase application. The tenant did not put any of the findings of fact made by the Branch in issue.

The Commission notes that there have been temporary changes to the *Act* in order to address the social and economic impacts on landlords and tenants related to COVID-19. Subsection 140.10 of the *Act*, which came into force on April 1, 2020, (s. 5(2) of *The Residential Tenancies Amendment Act*, S.M., 2020, c. 10) (the "*Amendment*"), made the following temporary changes to rent increases:

**PART 9.2
TEMPORARY CHANGES CONCERNING THE 2020 PUBLIC HEALTH EMERGENCY**

Purpose

140.9 The purpose of this Part is to make temporary changes to address the social and economic impacts on landlords and tenants that are related to the pandemic in Manitoba caused by the communicable disease known as COVID-19.

S.M. 2020, c. 10, s. 2.

Freeze in Rent Increases

Rent freeze

140.10(1) Any notice of a rent increase given by a landlord in accordance with section 25

- (a) on or after April 1, 2020; or
- (b) before April 1, 2020, with an effective date for the rent increase being on or after April 1, 2020; is void and the rent increase does not take effect.

Reimbursement required

140.10(2) A landlord who collects a rent increase for which no effective notice is given as a result of subsection (1)

- (a) is deemed to charge rent in excess of the rent permitted by this Act; and
- (b) must reimburse the amount of the excess to the person who paid it, regardless of whether it was paid before or after the coming into force of this section.

Conflict

140.10(3) This section prevails to the extent that it conflicts with

- (a) any other provision of this Act; or
- (b) any provision in a tenancy agreement, regardless of whether the tenancy agreement was entered into before or after the coming into force of this section.

S.M. 2020, c. 10, s. 2.

Based on s. 140.10 and s. 140.9 of the *Act*, the Commission found that the rent increase does not take effect on its effective date of July 1, 2020, and the rent payable is frozen at the amount payable immediately before April 1, 2020. It also determined that clause 4(1)(b) and s. 5(4) of the *Amendment*, indicated that s. 140.10 of the *Act* is in effect until it is repealed by proclamation as follows:

Repeal of Part 9.2

4(1) The following provisions of The Residential Tenancies Act, as enacted by section 2 of this Act, are repealed:

- (a) section 140.9 and the Part heading before it;*
- (b) section 140.10;*

Impact of repeal — notice of a rent increase

4(2)

On the repeal of section 140.10, as enacted by section 2 of this Act, a written notice of a rent increase given by a landlord under section 25 takes effect on the later of

- (a) the day section 140.10 is repealed; or*
- (b) the effective date of the rent increase, as specified in the notice.*

Coming into force — proclamation

5(4)

Section 4 comes into force on a day to be fixed by proclamation.

On June 20, 2020, a proclamation was signed naming October 1, 2020, as the day on which clause 4(1)(b) and s. 4(2) of the *Amendment* come into force. As a result, the Commission found that October 1, 2020, is the date that s. 140.10 of the *Act* is repealed. Subsection 4(2) of the *Amendment* indicates that on the repeal of s. 140.10 of the *Act* that a notice of rent increase can take effect the later of: (a) the effective date of the rent increase as specified in the notice or; (b) the day that s. 140.10 is repealed. The Commission found based on s. 4(2) (b) of the *Amendment* that October 1, 2020, is the earliest date that a rent increase can take effect.

Pursuant to s.168 of the *Act*, the Commission may adopt the Branch's findings of fact except insofar as a party to an appeal puts them in issue. Accordingly, the Commission adopts the Branch's findings of fact and, pursuant to s. 170(1) of the *Act*, confirms the decision and Order of the Branch except with respect to the date that the rent increase can take effect which is October 1, 2020.



MICHELLE POLLOCK-KOHN

Deputy Chief Commissioner

September 11, 2020

IN THE MATTER OF: An appeal against the Residential Tenancies Branch Officer's Order pursuant to Sections 123 of The Residential Tenancies Act.

BETWEEN

My Place Realty
1274 Archibald Street
Winnipeg MB R2J 0Z3

LANDLORD

AND

E. Rosner
10 - 585 Corydon Avenue
Winnipeg MB R3L 0P3

TENANT

ORDER

ADDRESS OF RENTAL UNIT: 10 - 585 Corydon Avenue, Winnipeg MB R3L 0P3

After considering the information and evidence submitted by the parties, the Residential Tenancies Commission hereby orders that, effective July 1, 2020, the rent for the rental unit can increase as follows:

From:

Basic Rent:	\$752.00
Total Rent	\$752.00

To a Maximum of:

Basic Rent:	\$781.00
Total Rent	\$781.00

THE RESIDENTIAL TENANCIES COMMISSION
1650 - 155 Carlton Street, Winnipeg MB R3C 3H8
Telephone: 204-945-2028
Toll-Free: 800-782-8403

DATED THIS 11th day of September, 2020



Michelle Pollock-Kohn
Deputy Chief Commissioner

THE DECISION HEREIN IS FINAL AND BINDING UPON THE PARTIES AND IS ENFORCEABLE

File Number: RTC-2020-000033